

Level 6

Apply Entrepreneurial Skills

November/December 2025

SECTION A (40 MARKS)

Attempt ALL the questions in this section.

1. Entrepreneurs usually face challenges when generating new business ideas due to lack of knowledge on where to obtain them. State FOUR sources of business ideas. (4 Marks)
2. Several upcoming entrepreneurs undergo several challenges like Low self-esteem, and this has resulted to failure of such entrepreneurs. State FOUR causes of low self-esteem. (4 Marks)
3. Entrepreneurs play key roles in planning a business. Name FOUR roles of an entrepreneur in a business. (4 Marks)
4. Entrepreneurship development faces several challenges in Kenya. List FOUR economic factors affecting entrepreneurship development. (4 Marks)
5. Tarus, a level 5 graduate, stood to be a successful entrepreneur in his village. State FOUR characteristics he may be portraying as an entrepreneur. (4 Marks)
6. Failing to plan is planning to fail. Lack of proper business planning may lead to business failure and it's therefore important to come up with a business plan before initiating any business. State FOUR disadvantages of a business plan. (4 Marks)
7. Partnership deed is a written document signed by partners who are ready to do business together. Mention FOUR contents of partnership deed. (4 Marks)
8. Finance to an entrepreneur is the core consideration before starting a business and one must put a lot of emphasis when choosing source of business finance. State FOUR factors to be considered in selecting viable sources of business Finance. (4 Marks)
9. Business life cycles are the stages that the business has to undergo for it to be complete in its operation. Name FOUR main stages of a business life cycle. (4 Marks)
10. Government interventions encourage potential entrepreneurs and also facilitate growth of entrepreneurial activities. Outline Four such interventions. (4 Marks)

SECTION B (60 MARKS)

Answer Question 11 and any other TWO questions in this section.

11. Kamau, a graduate in entrepreneurship, after tarmacking for many years running up and down from office to office decided to venture into a business. He scanned the environment

and came up with a viable business idea of making a door mat using water hyacinth. His innovativeness helped to solve the problem of water hyacinth in the lake which was affecting fishing.

- a. Explain FIVE advantages of self-employment. (10 Marks)
 - b. Explain FIVE importance of innovation in a business. (10 Marks)
12. Mohamed, a postgraduate in financial accounting, started his own audit firm but after a while, he started making losses and finally closed the business due to several challenges. He later met Jesca, his classmate at university, and they decided to open a new audit firm but now as partners, a business which did well and was seen as the best audit firm in the region.
- a. Explain FIVE challenges that could have made Mohamed fail in running the business. (10 Marks)
 - b. Explain FIVE advantages of operating partnership form of business. (10 Marks)
13. Business innovation strategies are plans used by companies to encourage advancements in technology or services, usually by investing money, research and embarking on development activities.
- a. Explain FOUR business innovation strategies. (8 Marks)
 - b. Explain SIX steps involved in developing innovative strategy by an entrepreneur. (12 Marks)
14. Entrepreneurs are the pillars of our country's economy, and they have greatly contributed to the visible growth of a country.
- a. Explain SIX contributions of entrepreneurs in the economic growth of a country. (12 Marks)
 - b. Explain FOUR forms of Business ownership. (8 Marks)

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